

Independent Auditor's Report

To the Members of Brokentusk Technologies Private Limited

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the standalone financial statements of Brokentusk Technologies Private Limited (the "Company") which comprise the standalone balance sheet as at 31 March 2023, and the standalone statement of profit and loss and standalone statement of cash flows for the year then ended, and notes to the standalone financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2023, and its loss and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those SAs are further described in the *Auditor's Responsibilities for the Audit of the Standalone Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the standalone financial statements.

Emphasis of Matter

We draw attention to Note 40 of the standalone financial statements for the year ended 31 March 2023, which more fully describes the effect of reclassifications of the previous year's reported amounts pertaining to certain items in the standalone financial statements for the year ended 31 March 2022, which were audited by the predecessor auditor. As explained in the said note, management has made the appropriate classification/presentation for the current year ended 31 March 2023 to comply with the applicable reporting framework including presentation and disclosure requirements of Division I to Schedule III to the Companies Act, 2013. The Company has not regrouped/reclassified the corresponding figures for the year ended 31 March 2022 but has presented proforma information to depict the effect of these changes on such corresponding figures.

Our opinion is not modified in respect of this matter.

Other Information

The Company's Management and Board of Directors are responsible for the other information. The other information comprises the information included in the Company's directors' report, but does not include the financial statements and auditor's report(s) thereon.

Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

Registered Office:

B S R & Co. (a partnership firm with Registration No. BA61223) converted into B S R & Co. LLP (a Limited Liability Partnership with LLP Registration No. AAB-8181) with effect from October 14, 2013

14th Floor, Central B Wing and North C Wing, Nesco IT Park 4, Nesco Center, Western Express Highway, Goregaon (East), Mumbai - 400063

Independent Auditor's Report (Continued)

Brokentusk Technologies Private Limited

In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Management's and Board of Directors Responsibilities for the Standalone Financial Statements

The Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the state of affairs, profit/ loss and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, the Management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on whether the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management and Board of Directors.
- Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting in preparation of standalone financial statements and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a

Independent Auditor's Report (Continued)

Brokentusk Technologies Private Limited

material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Other Matter

- a. The standalone financial statements of the Company for the year ended 31 March 2022 were audited by the predecessor auditor who had expressed an unmodified opinion on 26 September 2022.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of Section 143(11) of the Act, we give in the "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
- 2 A. As required by Section 143(3) of the Act, we report that:
 - a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b. In our opinion, proper books of account as required by law have been kept by the company so far as it appears from our examination of those books, except that in absence of sufficient and appropriate audit evidence, we are unable to comment whether the back-up of the books of account and other relevant books and papers in electronic mode has been kept on servers physically located in India on a daily basis.
 - c. The standalone balance sheet, the standalone statement of profit and loss and the standalone statement of cash flows dealt with by this Report are in agreement with the books of account.
 - d. In our opinion, the aforesaid standalone financial statements comply with the Accounting Standards specified under Section 133 of the Act.
 - e. On the basis of the written representations received from the directors as on 31 March 2023 taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2023 from being appointed as a director in terms of Section 164(2) of the Act.
 - f. the qualification relating to the maintenance of accounts and other matters connected therewith are as stated in the paragraph 2A (b) above.
 - g. The Company has been exempted from the requirement of its auditor reporting on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls (clause (i) of Section 143(3)).
- B. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and

Independent Auditor's Report (Continued)

Brokentusk Technologies Private Limited

according to the explanations given to us:

- a. The Company does not have any pending litigations which would impact its financial position.
- b. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
- c. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
- d (i) The management has represented that, to the best of their knowledge and belief, as disclosed in the Note 39(b)(vi) to the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (ii) The management has represented that, to the best of their knowledge and belief, as disclosed in the Note 39(b)(vii) to the standalone financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Parties ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (iii) Based on the audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (i) and (ii) above, contain any material misstatement.
- e. The Company has neither declared nor paid any dividend during the year.
- f. As proviso to rule 3(1) of the Companies (Accounts) Rules, 2014 is applicable for the Company only with effect from 1 April 2023, reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 is not applicable.

Independent Auditor's Report (Continued)

Brokentusk Technologies Private Limited

C. With respect to the matter to be included in the Auditor's Report under Section 197(16) of the Act:

In our opinion and according to the information and explanations given to us, the Company is not a public company. Accordingly, the provisions of Section 197 of the Act are not applicable to the Company. The Ministry of Corporate Affairs has not prescribed other details under Section 197(16) of the Act which are required to be commented upon by us.

For **B S R & Co. LLP**

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Manish Gupta

Partner

Place: Gurugram

Membership No.: 095037

Date: 29 September 2023

ICAI UDIN:23095037BGYZHX1567

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Brokentusk Technologies Private Limited for the year ended 31 March 2023

(Referred to in paragraph 1 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

- (i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.
- (B) The Company has maintained proper records showing full particulars of intangible assets.
- (i) (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has a regular programme of physical verification of its Property, Plant and Equipment by which all property, plant and equipment are verified once in every three years.. In accordance with this programme, certain property, plant and equipment were verified during the year. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets. No material discrepancies were noticed on such verification.
- (c) The Company does not have any immovable property (other than immovable properties where the Company is the lessee and the leases agreements are duly executed in favour of the lessee). Accordingly, clause 3(i)(c) of the Order is not applicable.
- (d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not revalued its Property, Plant and Equipment or intangible assets or both during the year.
- (e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no proceedings initiated or pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.
- (ii) (a) The Company is a service company, primarily rendering technology services. Accordingly, it does not hold any physical inventories. Accordingly, clause 3(ii)(a) of the Order is not applicable.
- (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not been sanctioned any working capital limits in excess of five crore rupees in aggregate from banks and financial institutions on the basis of security of current assets at any point of time of the year. Accordingly, clause 3(ii)(b) of the Order is not applicable to the Company.
- (iii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any investments in, or provided any guarantee or security, granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, limited liability partnership or any other parties during the year. However, the Company has granted loans to its employees during the year, in respect of which the requisite information is as below.
- (a) Based on the audit procedures carried on by us and as per the information and explanations given to us the Company has provided interest free loan to employees as below:

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Brokentusk Technologies Private Limited for the year ended 31 March 2023 (Continued)

Particulars	Loans (Rs in Thousands)
Aggregate amount of loan granted during the year to their employees	1,760
Balance outstanding as at balance sheet date with an employee	521

- (b) According to the information and explanations given to us and based on the audit procedures conducted by us, in our opinion the terms and conditions of the grant of loans during the year are, prima facie, not prejudicial to the interest of the Company.
- (c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, in the case of loan given, in our opinion the repayment of principal has been stipulated and the repayments or receipts have been regular. There is no interest charged by the Company on such loan given to its employees. Further, the Company has not given any advance in the nature of loan to any party during the year.
- (d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there is no overdue amount for more than ninety days in respect of loans given. Further, the Company has not given any advances in the nature of loans to any party during the year.
- (e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there is no loan or advance in the nature of loan granted falling due during the year, which has been renewed or extended or fresh loans granted to settle the overdues of existing loans given to same parties.
- (f) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment.
- (iv) According to the information and explanations given to us and on the basis of our examination of records of the Company, in respect of investments made and loans, guarantees and security given by the Company, wherever applicable, in our opinion the provisions of Section 185 and 186 of the Companies Act, 2013 ("the Act") have been complied with.
- (v) The Company has not accepted any deposits or amounts which are deemed to be deposits from the public. Accordingly, clause 3(v) of the Order is not applicable.
- (vi) According to the information and explanations given to us, the Central Government has not prescribed the maintenance of cost records under Section 148(1) of the Act for the services provided by it. Accordingly, clause 3(vi) of the Order is not applicable.
- (vii) (a) The Company does not have liability in respect of Service tax, Duty of excise, Sales tax and Value added tax during the year since effective 1 July 2017, these statutory dues has been subsumed into GST.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion amounts deducted / accrued in the books of account in respect of undisputed statutory dues including Goods and Service Tax, Provident Fund, Labour Welfare Fund, Income-Tax or other statutory dues have generally been regularly deposited with the appropriate authorities, though there have been serious delays in deposit of

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Brokentusk Technologies Private Limited for the year ended 31 March 2023 (Continued)

labour welfare fund and also slight delays in Provident Fund, Professional tax and Income tax in few cases.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, no undisputed amounts payable in respect of Goods and Service Tax, Provident Fund, Labour Welfare Fund, Income-Tax or other statutory dues were in arrears as at 31 March 2023 for a period of more than six months from the date they became payable, except as mentioned below:

Name of the statute	Nature of the dues	Amount (Rs. in thousands)	Period to which the amount relates	Due date	Date of payment	Remarks , if any
The Karnataka Labour Welfare Fund Act, 1965	Labour Welfare Fund	6	April 2021 to December 2021	15 January 2022	29 August 2023	
The Karnataka Labour Welfare Fund Act, 1965	Labour Welfare Fund	4	January 2022 to September 2022	15 January 2023	22 May 2023	

- (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no statutory dues relating to Goods and Service Tax, Provident Fund, Labour Welfare Fund, Income-Tax or other statutory dues, which have not been deposited with the appropriate authorities on account of any dispute.
- (viii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not surrendered or disclosed any transactions, previously unrecorded as income in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year.
- (ix) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company did not have any loans or borrowings from any lender during the year. Accordingly, clause 3(ix)(a) of the Order is not applicable to the Company.
- (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not been declared a wilful defaulter by any bank or financial institution or government or government authority.
- (c) According to the information and explanations given to us by the management, the Company has not obtained any term loans during the year. Accordingly, clause 3(ix)(c) of the Order is not applicable.
- (d) According to the information and explanations given to us and on an overall examination of the balance sheet of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.
- (e) According to the information and explanations given to us and on an overall examination of the standalone financial statements of the Company, we report that the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries or associate company as defined under the Act.

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Brokentusk Technologies Private Limited for the year ended 31 March 2023 (Continued)

- (f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiaries or associate company (as defined under the Act).
- (x) (a) The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments). Accordingly, clause 3(x)(a) of the Order is not applicable.
 - (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any private placement of shares or fully or partly convertible debentures during the year. In our opinion, in respect of preferential allotment of equity shares made during the year, the Company has duly complied with the requirements of Section 42 and Section 62 of the Act. The proceeds from issue of equity shares have been used for the purposes for which the funds were raised.
- (xi) (a) Based on examination of the books and records of the Company and according to the information and explanations given to us, no fraud by the Company or on the Company has been noticed or reported during the course of the audit.
 - (b) According to the information and explanations given to us, no report under sub-section (12) of Section 143 of the Act has been filed by the auditors in Form ADT-4 as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014 with the Central Government.
 - (c) Based on the information and explanations provided to us, the Company does not have a vigil mechanism and is not required to have a vigil mechanism as per the Act or SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- (xii) According to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, clause 3(xii) of the Order is not applicable.
- (xiii) The Company is a private limited company and accordingly the requirements as stipulated by the provisions of Section 177 of the Act are not applicable to the Company. In our opinion and according to the information and explanations given to us and on the basis of our examination of records of the Company, transactions with the related parties are in compliance with Section 188 of the Act where applicable and details of such transactions have been disclosed in the standalone financial statements as required by the applicable accounting standards.
- (xiv) (a) In our opinion and based on the information and explanations provided to us, the Company does not have an Internal Audit system and is not required to have an internal audit system as per Section 138 of the Act.
 - (b) In our opinion and based on the information and explanations provided to us, the Company does not have an internal audit system and is not required to have an internal audit system as per Section 138 of the Act. Accordingly, clause 3(xiv)(b) of the Order is not applicable.
- (xv) In our opinion and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with its directors or persons connected to its directors and hence, provisions of Section 192 of the Act are not applicable to the Company.
- (xvi) (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(a) of the Order is not applicable.
 - (b) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(b) of the Order is not applicable.
 - (c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, clause 3(xvi)(c) of the Order is not applicable.
 - (d) The Company is not part of any group (as per the provisions of the Core Investment Companies (Reserve Bank) Directions, 2016 as amended). Accordingly, the requirements of clause 3(xvi)(d) are not applicable.

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Brokentusk Technologies Private Limited for the year ended 31 March 2023 (Continued)

- (xvii) The Company has incurred cash losses of Rs 604,850 thousands in the current financial year and Rs 277,239 thousands in the immediately preceding financial year.
- (xviii) There has been resignation of the statutory auditors during the year and we have duly taken into consideration the issues, objections or concerns raised by the outgoing auditors.
- (xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the standalone financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.
- (xx) The requirements as stipulated by the provisions of Section 135 are not applicable to the Company. Accordingly, clauses 3(xx)(a) and 3(xx)(b) of the Order are not applicable.

For **B S R & Co. LLP**

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Manish Gupta

Partner

Place: Gurugram

Date: 29 September 2023

Membership No.: 095037

ICAI UDIN:23095037BGYZHX1567

Brokentusk Technologies Private Limited**Standalone Balance Sheet as at 31 March 2023**

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

Particulars	Notes	As at 31 March 2023 Amount	As at 31 March 2022 Amount
I. EQUITY AND LIABILITIES			
1 Shareholder's funds			
(a) Share capital	3	918	904
(b) Reserves and surplus	4	410,667	925,396
		411,585	926,300
2 Non-current liabilities			
(a) Other long-term liabilities	5	73,373	-
(b) Long-term provisions	6	14,403	7,859
		87,776	7,859
3 Current liabilities			
(a) Trade payables	7		
(i) total outstanding dues of micro enterprises and small enterprises; and		2,903	568
(ii) total outstanding dues of creditors other than micro enterprises and small enterprises		29,998	15,613
(b) Other current liabilities	8	226,838	29,953
(c) Short-term provisions	6	765	4,461
		260,504	50,595
Total		759,865	984,754
II. ASSETS			
1 Non-current assets			
(a) Property, plant and equipment and intangible assets			
(i) Property, plant and equipment	9	30,708	13,470
(ii) Intangible assets	10	-	77
(iii) Capital work-in-progress	9	-	20,163
(iv) Intangible assets under development	10	76,728	-
(b) Non-current investments	11	51,000	51,100
(c) Long-term loans and advances	12	18,650	4,198
(d) Other non-current assets	14	7,680	399,637
		184,766	488,645
2 Current assets			
(a) Trade receivables	15	50,780	29,511
(b) Cash and cash equivalents	16	494,686	418,256
(c) Short-term loans and advances	17	19,501	36,028
(d) Other current assets	18	10,132	12,314
		575,099	496,109
Total		759,865	984,754

Significant accounting policies

2

The accompanying notes forming part of standalone financial statements

1-42

In terms of our report attached

For B S R & Co. LLP

Chartered accountants

ICAI Firm Registration No. 101248W/W-100022

MANISH GUPTA
Digitally signed by
MANISH GUPTA
Date: 2023.09.29
20:33:31 +05'30'

Manish Gupta

Partner

Membership No. 095037

Place: Gurugram

Date: 29 September 2023

For and on behalf of Board of Directors of
Brokentusk Technologies Private Limited
CIN : U74999KA2018PTC116465

SAHIL RAMANATH KINI
Digitally signed
by SAHIL
RAMANATH KINI
Date: 2023.09.29
15:27:32 +05'30'

Sahil Ramanath Kini

Director

DIN. 06692107

Place: Tilburg, Netherlands

Date: 29 September 2023

RITESH KHETAN
Digitally signed
by RITESH
KHETAN
Date: 2023.09.29
18:50:26 +05'30'

Ritesh Khetan

Director

DIN. 09642571

Place: Mumbai

Date: 29 September 2023

Brokentusk Technologies Private Limited**Standalone Statement of Profit and Loss for the year ended 31 March 2023**

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

Particulars	Notes	For the year ended 31 March 2023 Amount	For the year ended 31 March 2022 Amount
I. Revenue from operations	19	142,426	116,270
II. Other income	20	33,156	48,299
III. Total revenue (I + II)		175,582	164,569
IV. Expenses:			
Employee benefits expense	21	602,503	311,928
Depreciation and amortisation expense	22	9,022	4,931
Finance costs	23	16	-
Other expenses	24	184,639	132,418
Total expenses		796,180	449,277
V. Loss before tax (III - IV)		(620,598)	(284,708)
VI. Tax expense:			
(i) Current tax		-	-
(ii) Deferred tax		-	-
		-	-
VII. Loss for the year (V-VI)		(620,598)	(284,708)
VIII. Loss per equity share			
[Nominal value of shares INR 0.001 (31 March 2022 : INR 0.001)]			
Basic and Diluted	25	(5.79)	(2.85)
Significant accounting policies	2		
The accompanying notes forming part of standalone financial statements	1-42		

In terms of our report attached

For B S R & Co. LLP*Chartered accountants*

ICAI Firm Registration No. 101248W/W-100022

MANISH GUPTA
Digitally signed by
MANISH GUPTA
Date: 2023.09.29
20:34:11 +05'30'

Manish Gupta*Partner*

Membership No. 095037

Place: Gurugram

Date: 29 September 2023

For and on behalf of Board of Directors of
Brokentusk Technologies Private Limited
CIN : U74999KA2018PTC116465

SAHIL RAMANATH KINI
Digitally signed
by SAHIL
RAMANATH KINI
Date: 2023.09.29
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Sahil Ramanath Kini*Director*

DIN. 06692107

Place: Tilburg, Netherlands

Date: 29 September 2023

RITESH KHETAN
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by RITESH
KHETAN
Date: 2023.09.29
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Ritesh Khetan*Director*

DIN. 09642571

Place: Mumbai

Date: 29 September 2023

Standalone Cash Flow Statement for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

Particulars	Notes	For the year ended 31 March 2023 Amount	For the year ended 31 March 2022 Amount
Cash flow from operating activities			
Loss before tax		(620,598)	(284,708)
<i>Adjustments for:</i>			
Depreciation and amortisation expense		9,022	4,931
Loss / (gain) on sale of property, plant and equipment		28	(7)
Employee share option expense		104,699	48,876
Provision for gratuity		-	4,239
Provision for doubtful debts		811	2,545
Interest on deposits with banks		(31,894)	(48,292)
Unrealised foreign exchange loss		5,909	-
Liabilities and provisions no longer required written back		(122)	-
Interest on bank overdraft		16	-
Impairment of Investments		100	-
Interest on income tax refund		(853)	-
Operating loss before working capital changes		(532,882)	(272,416)
<i>Changes in working capital</i>			
(Increase) in trade receivables		(22,080)	(20,986)
Decrease / (increase) in loans and advances		1,593	(10,656)
(Increase) in other current assets		(2,445)	(1,086)
Increase in trade payables		16,842	13,345
Increase in other current and non-current liabilities		1,910	17,113
Increase in provisions		2,848	3,993
Cash used in operating activities		(534,214)	(270,693)
Income tax net refund/(paid)		1,335	(12,165)
Net cash used in operating activities (A)		(532,879)	(282,858)
Cash flow from investing activities			
Purchase of property, plant and equipment including intangible assets		(77,882)	(27,241)
Proceeds from disposal of property, plant and equipment		535	135
Purchase of non-current investment		-	(21,100)
Purchase of fixed deposits		(779,643)	-
Proceeds from maturity of fixed deposits		1,144,158	285,478
Interest received		36,733	40,116
Net cash flow from investing activities (B)		323,901	277,388
Cash flow from financing activities			
Proceeds from issues of shares		258,193	-
Interest paid		(16)	-
Net cash flow from financing activities (C)		258,177	-
Net increase / (decrease) in cash and cash equivalents (A + B + C)		49,199	(5,470)
Cash and cash equivalents at beginning of the year		20,839	26,309
Cash and cash equivalents at end of the year		70,038	20,839
Cash and cash equivalents as per above comprise the following :			
Balance with banks			
- In current accounts	16	42,517	20,821
Cash on hand	16	8	18
Other bank balances	16	27,513	-
Balance per statement of cash flows		70,038	20,839

Note: The above cash flow statement has been prepared by using the indirect method as per Accounting Standard (AS) 3- Statement of Cash Flows.

Significant accounting policies 2
The accompanying notes forming part of standalone financial statements 1-42

In terms of our report attached
For B S R & Co. LLP
Chartered accountants
ICAI Firm Registration No. 101248W/W-100022

MANISH GUPTA
Digitally signed by
MANISH GUPTA
Date: 2023.09.29
20:34:44 +05'30'

Manish Gupta
Partner
Membership No. 095037
Place: Gurugram
Date: 29 September 2023

For and on behalf of Board of Directors of
Brokentusk Technologies Private Limited
CIN : U74999KA2018PTC116465

SAHIL RAMANATH KINI
Digitally signed by
SAHIL RAMANATH KINI
Date: 2023.09.29
15:28:10 +05'30'

Sahil Ramanath Kini
Director
DIN. 06692107
Place: Tilburg, Netherlands
Date: 29 September 2023

RITESH KHETAN
Digitally signed
by RITESH KHETAN
Date: 2023.09.29
18:51:16 +05'30'

Ritesh Khetan
Director
DIN. 09642571
Place: Mumbai
Date: 29 September 2023

Brokentusk Technologies Private Limited

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

1 Corporate information

Brokentusk Technologies Private Limited ("Company") is a private limited company incorporated on 19 September 2018 under the provisions of the Companies Act, 2013, bearing the Corporate Identification Number (CIN) U74999KA2018PTC116465. The registered office of the Company is at No. 2/1, Third Floor, Embassy Icon Annexe, Infantry Road, Bengaluru, Bangalore, Karnataka. The Company is engaged in technology services which act as integration between aggregators, merchants, banks, and financial and payment infrastructure platforms. The Company is an application programming interface (API) infrastructure start-up, which offers APIs across bill payments, savings, credit, and payments. The Company provides developers with modular APIs that allows them to build financial products for the specific needs of their users.

2 (i) Basis of preparation

The standalone financial statements of the Company have been prepared in accordance with the generally accepted accounting principles ("GAAP") in India under the historical cost convention on accrual basis. These standalone financial statements have been prepared to comply in all material aspects with the accounting standards notified under the Companies (Accounting Standards) Rules, 2021, specified under Section 133 and other relevant provisions of the Companies Act, 2013. The accounting policies have been consistently applied by the Company and are consistent with those used in the previous year.

The Standalone financial statements are approved for issue by the Company's Board of Directors on 29 September 2023.

(ii) Functional and presentation currency

These standalone financial statements are presented in Indian Rupees (INR), which is also the Company's functional currency. All amounts have been rounded-off to the nearest thousands, unless otherwise indicated.

2 Summary of significant accounting policies

(i) Use of estimates

The preparation of standalone financial statements in conformity with Generally Accepted Accounting Principles (GAAP) requires management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of assets, liabilities, income and expenses and the disclosure of contingent liabilities on the date of the financial statements. Examples of such estimates include relative fair value of goods and services, provisions of future obligation under employee retirement benefit plans, estimated useful life of fixed assets, provision for doubtful debts and loans and advances and provision for income-tax. Actual results could differ from those estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Any revision to accounting estimates is recognised prospectively in current and future periods.

The Company believes that the estimates and assumptions used in preparation of standalone financial statements are reasonable and are based upon management's best knowledge of current events and actions, as of the date of approval of financial statements, actual results could differ from these estimates. Any changes in estimates are adjusted prospectively in the Company's standalone financial statements. There are no assumptions and estimation uncertainties including expected future useful lives of assets and intangibles, that are at a significant risk of being adversely impacted resulting in a material adjustment in the future periods.

(ii) Current and non-current classifications

All assets and liabilities are classified into current and non-current.

Assets

An asset is classified as current when it satisfies any of the following criteria:

- (a) it is expected to be realised in, or is intended for sale or consumption in, the company's normal operating cycle;
- (b) it is held primarily for the purpose of being traded;
- (c) it is expected to be realised within 12 months after the reporting date; or
- (d) it is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least 12 months after the reporting date.

Current assets include the current portion of non-current financial assets. All other assets are classified as non-current.

Liabilities

A liability is classified as current when it satisfies any of the following criteria:

- (a) it is expected to be settled in the company's normal operating cycle;
- (b) it is held primarily for the purpose of being traded;
- (c) it is due to be settled within 12 months after the reporting date; or
- (d) the company does not have an unconditional right to defer settlement of the liability for at least 12 months after the reporting date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

Current liabilities include current portion of non-current financial liabilities. All other liabilities are classified as non-current.

Operating cycle

Operating cycle is the time between the acquisition of assets for processing and their realisation in cash or cash equivalents. Based on the nature of operations and the time between the acquisition of assets for processing and their realisation in cash and cash equivalents, the Company has ascertained its operating cycle being a period within 12 months for the purpose of classification of assets and liabilities as current and non-current.

Notes to the standalone financial statements for the year ended 31 March 2023
(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

(iii) Property, plant and equipment and depreciation

Property, plant and equipment are stated at cost, net of accumulated depreciation and impairment loss, if any. The cost comprises purchase price and any directly attributable expenses incurred to bring the asset to its location and working condition for its intended use. Any trade discounts and rebates are deducted in arriving at the purchase price. Subsequent costs related to an item of property, plant and equipment are recognised in the carrying amount of the item if the recognition criteria are met.

An item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss arising on derecognition is recognised in the Statement of Profit and Loss.

The Company follows straight line method of depreciation, and assets are depreciated over the useful life of assets as specified in Schedule II of Companies Act, 2013. Depreciable amount is the cost of asset, or other amount substituted for cost less its residual value, residual value being 5% of original cost of asset. Additions during the year are depreciated on pro rata basis from the date of addition.

The useful life of asset as specified in Schedule II of Companies Act, 2013 considered are as under:

Computers and accessories	3 years
Office equipment	5 years
Furniture and fixtures and electrical equipment	10 years
Vehicles	10 years
Leasehold improvements (lower of lease term or useful life)	6 years

(iv) Intangible assets and amortisation

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses. Internally generated intangibles, excluding capitalised development costs, are not capitalised and the related expenditure is reflected in profit or loss in the period in which the expenditure is incurred.

Software and Development cost

Certain direct development costs associated with internally developed software and software enhancements of the company's technology platform are capitalized. Capitalized costs, which occur post determination by management of technical feasibility, include external services and internal payroll costs. These costs are recorded as intangible assets when development is complete and the asset is ready for use. Development activities involve a plan or design for the production of new or substantially improved products and processes. Development expenditure is capitalized only if development costs can be measured. Research and pre-feasibility development costs, as well as maintenance and training costs, are expensed as incurred. In certain circumstances, management may determine that previously developed software and its related expense no longer meets management's definition of feasible, which could then result in the impairment of such asset. Incidental operations are not necessary to bring an asset to the condition necessary for it to be capable of operating in the manner intended by management, the income and related expenses of incidental operations are recognized immediately in profit or loss, and included in their respective classifications of income and expense.

The useful lives of intangible assets are assessed as either finite or indefinite.

The estimated useful life and amortization method are reviewed at the end of each reporting period.

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised as income or expense in the standalone statement of profit or loss.

(v) Leases

Assets acquired under leases other than finance leases are classified as operating leases. The total lease rentals (including scheduled rental increases) in respect of an asset taken on operating lease are charged to the Statement of Profit and Loss on a straight line basis over the lease term unless another systematic basis is more representative of the time pattern of the benefit. Initial direct costs incurred specifically for an operating lease are deferred and charged to the Statement of Profit and Loss over the lease term.

(vi) Impairment of assets

The carrying values of assets are reviewed at each reporting date to determine if there is indication of any impairment. If any indication exists, the assets recoverable amount is estimated. For assets that are not yet available for use, the recoverable amount is estimated at each reporting date. An impairment loss is recognised whenever the carrying amount of an asset or its cash generating unit exceeds its recoverable amount. Impairment losses are recognised in the Statement of Profit and Loss. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined net of depreciation or amortisation, if no impairment loss has been recognised.

Brokentusk Technologies Private Limited

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

(vii) Investment

Investments that are readily realizable and intended to be held for not more than a year from the date of acquisition are classified as current investments. All other investments are classified as long-term investments. However, that part of long-term investments which is expected to be realised within 12 months after the reporting date is also presented under "Current assets" as "Current portion of long term investments" in consonance with the current/ non-current classification scheme of schedule III of the Act.

Long-term investments (including current portion thereof) are carried at cost less any other-than-temporary diminution in value, determined separately for each individual investment.

Current investments are carried at lower of cost and fair value. The comparison of cost and fair value is done separately in respect of each category of investments.

(viii) Foreign currency translation

Transactions in foreign currency are recorded at the rate of exchange prevailing on the date of the respective transactions. Gain/ loss arising on settlement/ realization of foreign currency transactions of monetary items are recognised in the standalone Statement of Profit and Loss.

Monetary assets and liabilities denominated in foreign currencies and remaining unsettled as at the balance sheet date are translated using the closing exchange rates on that date. Gain/ loss on translation of foreign currency monetary assets and liabilities are recognised in the standalone Statement of Profit and Loss.

(ix) Retirement and other employee benefits

Short term benefits

All employee benefits payable wholly within twelve months of rendering the service are classified as short-term employee benefits. Benefits such as salaries, wages and bonus etc. are recognized in the standalone Statement of Profit and Loss in the period in which the employee renders the related service.

Post-employment benefit

• *Defined contribution plan*

The defined contribution plan is a post-employment benefit plan under which an entity pays specified a contribution to a separate entity and has no obligation to pay any further amounts. The Company makes specified monthly contributions towards employee provident fund to Government administered provident fund scheme which is a defined contribution plan. The Company's contribution to defined contribution plans is recognised in the standalone Statement of Profit and Loss during the period in which the employee renders related service.

• *Defined benefit plan*

The Company's gratuity plan which is unfunded is a defined benefit plan. The present value of gratuity obligation under such defined benefit plans is determined based on actuarial valuation carried out by an independent actuary using the Projected Unit Credit Method, which recognises each period of service as giving rise to additional unit of employee benefit entitlement and measure each unit separately to build up the final obligation. The obligation is measured at the present value of estimated future cash flows. The discount rates used for determining the present value of obligation under defined benefit plans, is based on the market yields on Government securities as at the balance sheet date, having maturity periods approximating to the terms of related obligations. Actuarial gains and losses are recognised immediately in the standalone Statement of Profit and Loss. Gains or losses on the curtailment or settlement of any defined benefit plan are recognised when the curtailment or settlement occurs.

(x) Employee share-based payments

Employee Stock Option Plan of Brokentusk Technologies Private Limited ("Setu")

Employees of the Company receive remuneration in the form of share-based payment transactions, whereby employees render services as consideration for equity instruments (equity-settlement transactions) of the Company.

In accordance with the Guidance Note on Accounting for Employee share-based payments, the cost of equity-settled transaction is measured using the fair value method and recognized, together with a corresponding increase in "Employee Stock option outstanding account" in reserves. The cumulative expense recognized for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the company's best estimate of the number of equity instruments that will ultimately vest.

The expense or credit recognized in the standalone Statement of Profit and Loss for a period represents the movement in cumulative expense recognized as at the beginning and end of that period and is recognized in employee benefits expense.

Brokentusk Technologies Private Limited

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

Employee Stock Option Plan of Pine Labs Limited (Holding Company)

The employees of the Company have been granted stock options by Pine Labs Limited, the Parent Company after acquisition of the Company.

The company calculated the employee share-based payments expense based on fair value method in accordance with the Guidance note in "Accounting for Employee Share Based Payments" issued by the Institute of Chartered Accountant of India. The Guidance Note applied to grant of stock options of the Parent Company, to the employees of the company.

ESOP Plan of the Parent Company qualifies as an equity settled share based payment transaction. The fair value of shares awarded is recognized as an expense with a corresponding increase in liability towards Parent Company in line with the Cross Charge agreement among the two. The fair value is measured at the date of grant and spread over the period during which the employees become entitled to the shares (vesting period). The amount recognised as an expense is adjusted for the actual forfeitures due to participants' resignation before the vesting date.

(xi) Taxation

Income tax expense comprises of current tax (i.e. amount of tax for the year determined in accordance with the Income Tax laws) and deferred tax charge or credit (reflecting the tax effects of timing difference between accounting income and taxable income for the year).

The deferred tax charge or credit and the corresponding deferred tax liability and/or deferred tax asset is recognised using the tax rates that have been enacted or substantively enacted by the Balance Sheet date. Deferred tax assets are recognised only to the extent there is reasonable certainty that the assets can be realized in future. However, where there is unabsorbed depreciation or carried forward loss under taxation laws, deferred tax assets are recognised only if there is virtual certainty of realization of such assets. Deferred tax assets are reviewed as at each Balance Sheet date and are written down or written up to reflect the amount that is reasonably / virtually certain (as the case may be) to be realized.

(xii) Earnings per share

Basic earnings per share are calculated by dividing the net profit or loss for the period attributable to equity shareholders by weighted average number of equity shares outstanding during the period. The weighted average number of equity shares is adjusted for events such as bonus issue and shares split that have changed the number of equity shares outstanding without a corresponding change in resources.

For calculating diluted earnings per share, the net profit or loss for the year attributable to equity shareholders and the weighted average number of equity shares are adjusted for the effects of all dilutive potential equity shares.

(xiii) Provisions and contingencies

A provision is created when there is a present obligation as a result of a past event that probably requires an outflow of resources and a reliable estimate can be made of the amount of the obligation. A disclosure for a contingent liability is made when there is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources. When there is a possible obligation or a present obligation in respect of which the likelihood of outflow of resources is remote, no provision or disclosure is made.

The Company does not recognise assets which are of contingent nature until there is virtual certainty of realisability of such assets. However, subsequently, if it becomes virtually certain that an inflow of economic benefits will arise, asset and related income is recognised in the standalone financial statements of the period in which the change occurs.

(xiv) Revenue

Revenue from rendering of services is recognised (net of taxes) over time as and when the customer receives the benefit of the Company's performance of services and no significant uncertainty exists as per the terms of customer contracts regarding the amount of the consideration that will be derived from rendering the service.

Unbilled revenue represents value of services performed in accordance with the contract terms but not billed and are part of trade receivables.

Revenue from services is recognized when the risk and reward of services is transferred as per the terms of the agreement with customer i.e. as and when services are rendered. Revenues are disclosed net of the Goods and Service tax charged on such services. In terms of the contract, excess of revenue over the billed at the year-end is carried in the balance sheet as unbilled revenue under other current assets where the amount is recoverable from the customer without any future performance obligation. Cash received before the services are delivered is recognized as unearned income.

For the purpose of revenue recognition, the Company determines whether revenue should be recognized on a gross or net basis, basis Principal versus Agent Considerations, which states that the determination of whether a Company should recognize revenue based on the gross amount billed to a client or the net amount retained. This is a matter of judgment that depends on the facts and circumstances of the arrangement. The determination of gross versus net recognition of revenue requires judgment that depends on whether the Company controls the good or service before it is transferred to the merchant or whether the Company is acting as an agent of a third party. The assessment is performed separately for each type of services provided by the Company.

(xv) Other income

Interest income is recognized on a time proportion basis taking into account the amount outstanding and the applicable interest rate. Interest income is included under the head "Other Income" in the standalone Statement of Profit and Loss.

(xvi) Cash and cash equivalents

Cash and Cash Equivalents in the standalone Balance Sheet comprise cash at bank and in hand and short term, highly liquid investments that are readily convertible into known amounts of cash and which are subject to an insignificant risk of changes in value.

Brokentusk Technologies Private Limited

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

3 Share capital

Particulars	As at 31 March 2023		As at 31 March 2022	
	Numbers	Amount	Numbers	Amount
Authorised				
Equity shares of INR 0.001 each (31 March 2022: INR 0.001 each)	700,000,000	700	700,000,000	700
Series seed cumulative compulsorily convertible preference shares of INR 0.01 each (31 March 2022: INR 0.01 each)	30,000,000	300	30,000,000	300
Series A cumulative compulsorily convertible preference shares of INR 0.01 each (31 March 2022: INR 0.01 each)	55,000,000	550	55,000,000	550
	785,000,000	1,550	785,000,000	1,550
Issued, subscribed and fully paid up				
Equity shares of INR 0.001 each (31 March 2022: INR 0.001 each)	113,694,007	114	100,020,000	100
Series seed cumulative compulsorily convertible preference Shares of INR 0.01 each (31 March 2022: INR 0.01 each)	27,980,000	280	27,980,000	280
Series A cumulative compulsorily convertible preference shares of INR 0.01 each (31 March 2022: INR 0.01 each)	52,440,000	524	52,440,000	524
Total	194,114,007	918	180,440,000	904

(a) Reconciliation of number of shares and amount outstanding at the beginning and at the end of the reporting year

Particulars	As at 31 March 2023		As at 31 March 2022	
	Numbers	Amount	Numbers	Amount
Shares outstanding at the beginning of the year	100,020,000	100	100,020,000	100
Shares issued during the year	13,674,007	14	-	-
Shares outstanding at the end of the year	113,694,007	114	100,020,000	100

Particulars	As at 31 March 2023		As at 31 March 2022	
	Numbers	Amount	Numbers	Amount
Series Seed Cumulative Compulsorily Convertible Preference Shares				
Shares outstanding at the beginning of the year	27,980,000	280	27,980,000	280
Shares outstanding at the end of the year	27,980,000	280	27,980,000	280

Particulars	As at 31 March 2023		As at 31 March 2022	
	Numbers	Amount	Numbers	Amount
Series A Cumulative Compulsorily Convertible Preference Shares				
Shares outstanding at the beginning of the year	52,440,000	524	52,440,000	524
Shares outstanding at the end of the year	52,440,000	524	52,440,000	524

(b) Rights, preferences and restrictions attached to equity shares:

The Company has one class of equity shares having a par value of INR 0.001 per share, each shareholder is eligible for one vote per share held. The dividend is subject to the approval of shareholders in the ensuing Annual General Meeting. In the event of liquidation, the equity shareholders are eligible to receive the remaining assets of the Company after distribution of all preferential amounts in proportion to their shareholding.

(c) Rights, preferences and restrictions attached to Cumulative Compulsorily Convertible Preference Shares ("CCCPS")

Each CCCPS shall be entitled to a preferential non-cumulative dividend equal to zero point zero zero one percent (0.001%) per annum of the face value of such CCCPS ("Preferential Dividend") and would also be entitled to participate on a pari passu basis in any cash or non-cash dividends paid to the holders of Shares of any other class or series on a pro rata as-converted basis to the fullest extent permissible under Applicable Law, provided that no dividends shall be paid on any other class of Shares during any financial year of the Company until the Preferential Dividend on the CCCPS shall have been paid or declared and set apart during that financial year and any prior year in which dividends were declared and accumulated but remain unpaid.

Each CCCPS shall automatically be converted into one (1) fully paid-up Equity Share subject to Anti-Dilution Adjustments ("CCCPS Conversion Ratio") upon the first of the following ("Conversion Event"):

- immediately prior to an IPO;
- the written request of the holder of such CCCPS; or
- one (1) day prior to the twentieth (20th) anniversary from the date of issuance of the CCCPS.

Subject to applicable laws, the holders of the CCCPS shall be entitled to vote on as if converted basis, i.e., the holders of the CCCPS shall be entitled to such number of votes in the general meetings of the Company which is equivalent to the number of Equity Shares which would be issuable at such point of time based on the then CCCPS Conversion Price.

Brokentusk Technologies Private Limited**Notes to the standalone financial statements for the year ended 31 March 2023**

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

(d) Shares of the Company held by holding company / fellow subsidiary**Equity Shares****Name of Shareholder**

Pine Labs Limited
Pine Labs Private Limited

As at 31 March 2023		As at 31 March 2022	
No. of Shares	Amount	No. of Shares	Amount
113,694,006	114	-	-
1	-	-	-
113,694,007	114	-	-

Series Seed Cumulative Compulsorily Convertible Preference Shares**Name of Shareholder**

Pine Labs Limited

As at 31 March 2023		As at 31 March 2022	
No. of Shares	Amount	No. of Shares	Amount
27,980,000	280	-	-
27,980,000	280	-	-

Series A Cumulative Compulsorily Convertible Preference Shares**Name of Shareholder**

Pine Labs Limited

As at 31 March 2023		As at 31 March 2022	
No. of Shares	Amount	No. of Shares	Amount
52,440,000	524	-	-
52,440,000	524	-	-

(e) Details of shares held by shareholders holding more than 5% of the aggregate shares in the Company**Equity Shares****Name of Shareholder**

Sahil Ramanath Kini
Nikhil Kolar Satish Kumar
Pine Labs Limited

As at 31 March 2023		As at 31 March 2022	
No. of Shares	% of Holding	No. of Shares	% of Holding
-	-	50,000,000	50%
-	-	50,000,000	50%
113,694,006	100%	-	0%
113,694,006	100%	100,000,000	100%

Series Seed Cumulative Compulsorily Convertible Preference Shares**Name of Shareholder**

Lightspeed India Partners I, LLC
Bharat Inclusive Technologies Seed Holdings Limited
Pine Labs Limited

As at 31 March 2023		As at 31 March 2022	
No. of Shares	% of Holding	No. of Shares	% of Holding
-	-	23,990,000	86%
-	-	3,990,000	14%
27,980,000	100%	-	-
27,980,000	100%	27,980,000	100%

Series A Cumulative Compulsorily Convertible Preference Shares**Name of Shareholder**

Lightspeed India Partners I, LLC
Falcon Edge India I LP
Lightspeed Venture Partners XII Mauritius
Pine Labs Limited

As at 31 March 2023		As at 31 March 2022	
No. of Shares	% of Holding	No. of Shares	% of Holding
-	-	10,670,000	20%
-	-	20,440,000	39%
-	-	19,090,000	36%
52,440,000	100%	-	0%
52,440,000	100%	50,200,000	96%

(f) Disclosure of Shareholding of Promoters**Particulars****Equity Shares**

Sahil Ramanath Kini
Nikhil Kolar Satish Kumar
Pine Labs Limited

As at 31 March 2023		As at 31 March 2022		% Change During the year
No. of Shares	% of Holding	No. of Shares	% of Holding	
-	-	50,000,000	50%	-50%
-	-	50,000,000	50%	-50%
113,694,006	100%	-	0%	100%
113,694,006	100%	100,000,000	100%	0%

(g) Details of shares issued for consideration other than cash for last 5 years immediately preceding 31 March 2023

No Equity shares have been issued during the last 5 years immediately preceding 31 March 2023 for consideration other than cash.

(h) Shares allotted as fully paid up by way of bonus shares during 5 years immediately preceding 31 March 2023

No Equity shares were issued during the 5 years immediately preceding 31 March 2023 by way of bonus shares.

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

4 Reserves and surplus

Particulars	As at 31 March 2023 Amount	As at 31 March 2022 Amount
a. Securities Premium*		
Opening balance	1,336,913	1,336,913
Add: Premium on issue of equity shares	258,179	-
Closing Balance	1,595,092	1,336,913
b. Share Options Outstanding Account		
Opening balance	152,310	103,434
Add: Expense during the year	104,699	48,876
Less: Amount transferred to Liability on cancellation of the scheme	(257,009)	-
Closing Balance	-	152,310
c. Surplus i.e. balance in Statement of Profit and Loss		
Opening balance	(563,827)	(279,119)
Add: Loss for the year	(620,598)	(284,708)
Closing Balance	(1,184,425)	(563,827)
Total	410,667	925,396

*Security premium is the premium received on issue of shares. It will be utilised in accordance with the provisions of Companies Act, 2013.

5 Other long-term liabilities

Particulars	As at 31 March 2023 Amount	As at 31 March 2022 Amount
Payable to related parties (refer note 33)	70,841	-
Provision for lease equalisation	2,532	-
Total	73,373	-

6 Provisions

Particulars	As at 31 March 2023 Amount	As at 31 March 2022 Amount
Long-term provisions (A)		
Provision for gratuity (refer note 29)	14,403	7,859
	14,403	7,859
Short-term provisions (B)		
Provision for lease equalisation	-	490
Provision for gratuity (refer note 29)	765	12
Provision for bonus	-	3,959
	765	4,461
Total provisions (A+B)	15,168	12,320

Brokentusk Technologies Private Limited

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

7 Trade payables

Particulars	As at 31 March 2023 Amount	As at 31 March 2022 Amount
Trade Payables		
(i) total outstanding dues of micro enterprises and small enterprises (refer note 28)	2,903	568
(ii) total outstanding dues of creditors other than micro enterprises and small enterprises	29,998	15,613
Total	32,901	16,181

Ageing schedule of trade payables

As at 31 March 2023

Particulars	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	Accrued expenses	Total
(i) Total outstanding dues of micro enterprises and small enterprises	2,491	45	-	-	-	367	2,903
(ii) Total outstanding dues of creditors other than micro enterprises and small	8,901	530	-	-	-	20,567	29,998
(iii) Disputed Dues - total outstanding dues of micro enterprises and small enterprises	-	-	-	-	-	-	-
(iv) Disputed Dues - total outstanding dues of creditors other than micro enterprises and small enterprises	-	-	-	-	-	-	-
Total	11,392	575	-	-	-	20,934	32,901
As at 31 March 2022							
(i) Total outstanding dues of micro enterprises and small enterprises	-	16	-	-	-	552	568
(ii) Total outstanding dues of creditors other than micro enterprises and small	-	8,284	5	-	-	7,324	15,613
(iii) Disputed Dues - total outstanding dues of micro enterprises and small enterprises	-	-	-	-	-	-	-
(iv) Disputed Dues - total outstanding dues of creditors other than micro enterprises and small enterprises	-	-	-	-	-	-	-
Total	-	8,300	5	-	-	7,876	16,181

The Ministry of Micro, Small and Medium Enterprises has issued an Office Memorandum dated 26 August 2008 which recommends that the Micro and Small Enterprises should mention in their correspondence with its customers the Entrepreneurs Memorandum Number as allocated after filing of the Memorandum. Based on the information currently available with the Company, there are amounts payable to micro and small enterprises As at 31 March 2023 (refer note 28).

8 Other current liabilities

Particulars	As at 31 March 2023 Amount	As at 31 March 2022 Amount
Payable to related parties (refer note 33)	133,336	-
Payable to employees (refer note 30)	41,956	155
Payable to merchants	27,267	8,290
Statutory dues	14,709	7,908
Deferred revenue	4,052	4,788
Payable for capital goods	3,110	8,540
Security deposits from customers	400	272
Payable to customers	2,008	-
Total	226,838	29,953

Notes to the standalone financial statements for the year ended 31 March 2023
(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

9 Property, plant and equipment

Particulars	Gross block at cost				Accumulated depreciation				Net block As at 31 March 2023
	As at 1 April 2022	Additions	Deletions	Transfer	As at 31 March 2023	As at 1 April 2022	Charge for the year	Deletions	As at 31 March 2023
Computers	14,975	6,343	1,632	-	19,686	6,301	5,016	1,145	10,172
Furniture and fixtures	3,253	36	-	5,002	8,291	1,045	767	-	1,812
Office equipment	483	103	-	466	1,052	252	203	-	455
Leasehold Improvements	4,005	-	-	14,695	18,700	1,648	3,026	-	4,674
Vehicles	-	100	-	-	100	-	8	-	8
Total	22,716	6,582	1,632	20,163	47,829	9,246	9,020	1,145	17,121
Capital work-in-progress	20,163	-	-	(20,163)	-	-	-	-	-
Total	42,879	6,582	1,632	-	47,829	9,246	9,020	1,145	17,121

Particulars	Gross block at cost				Accumulated depreciation				Net block As at 31 March 2022
	As at 1 April 2021	Additions	Deletions	Transfer	As at 31 March 2022	As at 1 April 2021	Charge for the year	Deletions	As at 31 March 2022
Computers	8,453	7,058	536	-	14,975	2,974	3,736	409	6,301
Furniture and fixtures	3,253	-	-	-	3,253	736	309	-	1,045
Office equipment	462	21	-	-	483	164	88	-	252
Leasehold Improvements	4,005	-	-	-	4,005	860	788	-	1,648
Total	16,173	7,079	536	-	22,716	4,734	4,921	409	9,246
Capital work-in-progress	-	20,163	-	-	20,163	-	-	-	-
Total	16,173	27,242	536	-	42,879	4,734	4,921	409	33,633

Ageing of capital work in progress is as below:

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Project In Progress	-	-	-	-	-
(ii) Projects Temporarily suspended	-	-	-	-	-

As at 31 March 2022

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Project In Progress	20,163	-	-	-	20,163
(ii) Projects Temporarily suspended	-	-	-	-	-

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

10 Intangible assets and intangible assets under development

Particulars	Gross block at cost			Accumulated amortisation			Net block
	As at 1 April 2022	Additions	Deletions	As at 31 March 2023	Charge for the year	Deletions	As at 31 March 2023
Trademarks	108	-	108	-	2	33	-
Intangible assets under development	-	76,728	-	76,728	-	-	76,728
Total	108	76,728	108	76,728	2	33	76,728

Particulars	Gross block at cost			Accumulated amortisation			Net block
	As at 1 April 2021	Additions	Deletions	As at 31 March 2022	Charge for the year	Deletions	As at 31 March 2022
Trademarks	108	-	-	108	10	-	77
Intangible assets under development	-	-	-	-	-	-	-
	108	-	-	108	10	-	77

Ageing of intangible assets under development is as below:

As at 31 March 2023

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Projects in Progress	76,728	-	-	-	76,728
(ii) Projects temporarily suspended	-	-	-	-	-

As at 31 March 2022

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) Projects in Progress	-	-	-	-	-
(ii) Projects temporarily suspended	-	-	-	-	-

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

11 Non-current investments

Particulars	As at 31 March 2023 Amount	As at 31 March 2022 Amount
Investment in equity instruments - unquoted at cost		
Anumati Technologies Private Limited (subsidiary company)*	30,000	30,000
(3,000,000 shares at a face value of Rs.10 each (31 March 2022: 3,000,000 shares at a face value of Rs.10 each)		
Setu Payments Private Limited (subsidiary company)**	100	100
(9,999 shares at a face value of Rs.10 each)		
Less: Impairment in the value of investment	(100)	-
Agya Technologies Private Limited*	21,000	21,000
(1,400 shares at a face value of Rs.10 each)		
Total non current investments	51,000	51,100

* Refer note 33

**The Investment in Setu Payments Private Limited has been impaired since the entity has filed for voluntary Liquidation w.e.f. 24 January 2023.

Aggregate value of quoted investments and market value thereof	-	-
Aggregate value of unquoted investments	51,000	51,100
Aggregate amount of impairment in the value of investments	100	-

12 Long-term loans and advances

Particulars	As at 31 March 2023 Amount	As at 31 March 2022 Amount
Advance tax	18,650	-
Capital advances	-	4,198
Total	18,650	4,198

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

13 Deferred tax assets / liabilities (net)

Particulars	As at 31 March 2023 Amount	As at 31 March 2022 Amount
The balance comprises temporary differences attributable to:		
Property, plant and equipment	(21)	(103)
Provision for lease equalisation	637	123
Provision for gratuity	3,817	1,981
Provision for doubtful debts	137	789
Unabsorbed depreciation and tax losses	157,116	138,472
Others	-	332
Total	161,686	141,594
Less: Deferred tax asset reversed due to no virtual uncertainty of realization in future	(161,686)	(141,594)
Net deferred tax recognized	-	-

In the absence of virtual certainty, that sufficient future taxable income will be available against which such deferred tax can be realized, deferred tax assets has not been recognized as at 31 March 2023 and 31 March 2022.

14 Other non-current assets

Particulars	As at 31 March 2023 Amount	As at 31 March 2022 Amount
Security deposits	7,680	7,680
Deposits with bank	-	391,746
Interest accrued on deposits	-	211
Total	7,680	399,637

Brokentusk Technologies Private Limited

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

15 Trade receivables

Particulars	As at 31 March 2023 Amount	As at 31 March 2022 Amount
Trade receivables		
Unsecured and considered good*	50,780	29,511
Considered doubtful	542	3,135
Less: Provision for doubtful debts	(542)	(3,135)
Total	50,780	29,511

*Refer note 33 for related party balances

Trade receivables - unsecured and considered good includes INR 5 thousands (31 March 2022: INR 1,200 thousands) due from directors or other officers, or any of them, either severally or jointly with any other person or from firms or private companies in which director is a partner or a director or member.

Ageing schedule of trade receivables

As at 31 March 2023

Particulars	Not due	Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	Total
Trade receivable							
Undisputed trade receivables- considered good	42,791	6,615	-	-	-	-	49,406
Undisputed trade receivables- considered doubtful	-	-	239	302	1	-	542
Disputed trade receivables considered good	-	-	-	-	-	-	-
Disputed trade receivables considered doubtful	-	-	-	-	-	-	-
	42,791	6,615	239	302	1	-	49,948
Trade receivables - unbilled	-	-	-	-	-	-	1,374
							51,322
Less: Provision for doubtful debts	-	-	(239)	(302)	(1)	-	(542)
Total	42,791	6,615	-	-	-	-	50,780

As at 31 March 2022

Particulars	Not due	Less than 6 months	6 months to 1 year	1-2 years	2-3 years	More than 3 years	Total
Trade receivable							
Undisputed trade receivables- considered good	-	27,990	242	10	72	-	28,314
Undisputed trade receivables- considered doubtful	-	418	313	717	-	-	1,448
Disputed trade receivables considered good	-	-	-	-	-	-	-
Disputed trade receivables considered doubtful	-	977	710	-	-	-	1,687
	-	29,385	1,265	727	72	-	31,449
Trade receivables - unbilled	-	-	-	-	-	-	1,197
							32,646
Less: Provision for doubtful debts	-	(1,395)	(1,022)	(717)	-	-	(3,135)
Total	-	27,990	243	10	72	-	29,511

Brokentusk Technologies Private Limited**Notes to the standalone financial statements for the year ended 31 March 2023**

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

16 Cash and cash equivalents

Particulars	As at 31 March 2023 Amount	As at 31 March 2022 Amount
(a) Cash and cash equivalents		
Balance with banks - current accounts	42,517	20,821
Cash on hand	8	18
(b) Other bank balances		
Earmarked balance with banks*	27,513	-
Deposits with original maturity for more than 12 months	-	126,663
Deposits with maturity for more than 3 months but less than 12 months**	424,648	270,754
Total	494,686	418,256

*The Company has entered into agreements with certain banks to facilitate digital collections for various merchants. The Company collects and settles funds through nodal bank accounts as per RBI regulations. Amounts received in these nodal accounts pertain to merchants, accordingly these balances are restricted, and cannot be used for general purpose of the business.

**Includes INR 25,068 thousands of fixed deposit pledged against bank overdraft limit and corporate credit card facility. Out of total, INR 5,000 thousands of fixed deposits are subject to first charge against the Company's overdraft facility from Axis Bank.

17 Short-term loans and advances

Particulars	As at 31 March 2023 Amount	As at 31 March 2022 Amount
Prepaid expenses	7,174	2,612
Advance tax	-	19,132
Loans and advances to related parties (refer note 33)	42	14
Advances to employees	479	1,743
Balance with statutory authorities	11,514	8,577
Advances to suppliers	292	3,949
Total	19,501	36,028

18 Other current assets

Particulars	As at 31 March 2023 Amount	As at 31 March 2022 Amount
Interest accrued on deposits	5,378	10,006
Receivables from related parties (refer note 33)	1,586	2,308
Other receivables	3,168	-
Total	10,132	12,314

Brokentusk Technologies Private Limited**Notes to the standalone financial statements for the year ended 31 March 2023**

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

19 Revenue from operations

Particulars	For the year ended 31 March 2023 Amount	For the year ended 31 March 2022 Amount
Sale of services	142,426	116,270
Total	142,426	116,270

20 Other income

Particulars	For the year ended 31 March 2023 Amount	For the year ended 31 March 2022 Amount
Interest on deposits with banks	31,894	48,213
Interest on income tax refund	853	79
Gain on sale of plant, property and equipment	-	7
Liabilities and provisions no longer required written back	122	-
Miscellaneous income	287	-
Total	33,156	48,299

21 Employee benefits expense

Particulars	For the year ended 31 March 2023 Amount	For the year ended 31 March 2022 Amount
Salaries, wages and bonus	281,439	241,082
Contribution to provident fund and other funds (refer note 29)	7,387	4,295
Employee share option expense (refer note 30)	298,848	48,876
Staff welfare expense	14,829	10,007
Recruitment expense	-	7,668
Total	602,503	311,928

22 Depreciation and amortisation expense

Particulars	For the year ended 31 March 2023 Amount	For the year ended 31 March 2022 Amount
Depreciation of property, plant and equipment (refer note 9)	9,020	4,921
Amortization of intangible assets (refer note 10)	2	10
Total	9,022	4,931

23 Finance costs

Particulars	For the year ended 31 March 2023 Amount	For the year ended 31 March 2022 Amount
Interest on bank overdraft	16	-
Total	16	-

Brokentusk Technologies Private Limited**Notes to the standalone financial statements for the year ended 31 March 2023**

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

24 Other expenses

Particulars	For the year ended 31 March 2023 Amount	For the year ended 31 March 2022 Amount
Transaction charges	-	42,208
Rent (refer note 26)*	15,229	12,253
Legal and professional expenses	24,586	10,954
Whatsapp charges**	4,629	-
Travel & conveyance	10,233	5,557
Repairs & maintenance - building	2,150	1,860
Repairs & maintenance - IT hardware	195	740
Recruitment expense	4,892	-
Provision for doubtful debts	811	2,545
Office expenses	3,007	969
Advertisement	424	923
Payment to auditors (refer details below)	2,127	783
Insurance	1,574	732
Communication costs	639	661
Power & fuel	952	648
Balances written off	-	197
Rates & taxes	1,784	54
Loss on sale of plant property and equipment	28	-
Bank charges	401	37
Foreign exchange loss	5,909	-
Cloud storage expense	94,258	43,246
Software subscription expenses	9,531	6,979
Impairment of investment	100	-
Miscellaneous expenses	1,180	1,072
Total	184,639	132,418

*Includes prior period item of INR 836 thousands (31 March 2022: NIL)

**Includes prior period item of INR 426 thousands (31 March 2022: NIL)

Note: Payment to auditors

Particulars	For the year ended 31 March 2023 Amount	For the year ended 31 March 2022 Amount
Payments to auditor comprises (excluding GST)		
Audit fee	1,680	450
Tax audit fee*	125	100
Other certification and services fee*	322	233
Total	2,127	783

*Paid to other auditor for current year

Brokentusk Technologies Private Limited

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

25 Loss per equity share

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Loss for the year	(620,598)	(284,708)
Weighted average number of equity shares outstanding during the year	107,175,439	100,020,000
Basic and diluted loss per share* (INR)	(5.79)	(2.85)

*There are potential equity shares during the year ended 31 March 2023 and 31 March 2022 in the form of cumulative compulsorily convertible preference shares, which are anti-dilutive in nature and hence, ignored in the calculation of diluted earning/(loss) per share and accordingly the diluted earning/(loss) per share is the same as basic earning/(loss) per share.

26 Leases

The Company has entered into operating lease arrangements for the office premises. Rental expense for operating leases charged to Statement of Profit and Loss for the year ended 31 March 2023 is INR 15,229 thousands (31 March 2022: INR 12,253 thousands).

Details of future minimum lease payment for operating leases are as follows:

Particulars	As at 31 March 2023	As at 31 March 2022
-Not later than one year	13,856	13,207
-Later than one year but not later than five year	49,322	16,624
-Later than five years	-	-
	63,178	29,831

27 Corporate Social Responsibility (CSR)

In terms of the Section 135(5) of Companies Act, 2013, the Company is not fulfilling the criteria of having average net profit for immediate three preceding financial years. Accordingly, the Company is not required to spend amount in the CSR activities during the financial year.

28 Details of dues to micro, small and medium enterprises as defined under the MSMED Act, 2006

The Company has dues to suppliers registered under Micro, Small and Medium Enterprises Development Act, 2006 ('MSMED Act'). The disclosures pursuant to the said MSMED Act are as follows:

Particulars	As at 31 March 2023	As at 31 March 2022
i) Principal amount due to suppliers registered under the MSMED Act and remaining unpaid as at year end	2,903	568
ii) Interest due to suppliers registered under the MSMED Act and remaining unpaid as at year end	-	-
iii) Principal amounts paid to suppliers registered under the MSMED Act, beyond the appointed day during the year	-	-
iv) Interest paid, other than under Section 16 of MSMED Act, to suppliers registered under the MSMED Act, beyond the appointed day during the year	-	-
v) Interest paid, under Section 16 of MSMED Act, to suppliers registered under the MSMED Act, beyond the appointed day during the year	-	-
vi) Interest due and payable towards suppliers registered under MSMED Act, for payments already made	-	-
vii) Further interest remaining due and payable for earlier years	-	-

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

29 Employee benefits

(a) Defined contribution plans

The Company provides provident fund scheme for eligible employees as per applicable regulations where in both employees and the Company make monthly contributions at a specified percentage of the eligible employee's salary. The expense recognised during the year towards defined contribution plan is INR 7,387 thousands (31 March 2022: INR 4,295 thousands).

(b) Defined benefit plan

Gratuity scheme

The Company provides for gratuity for employees as per the Payment of Gratuity Act, 1972. The amount of gratuity payable on retirement/termination is the employees last drawn basic salary per month computed proportionately for 15 days salary multiplied for the number of years of service. The Company have an unfunded defined benefit gratuity plan as per Payment of Gratuity Act, 1972.

(I) Details of changes and obligation under the defined benefit plan is given as below:-

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Expense recognised in the Statement of Profit and Loss:		
Current service cost	4,485	3,987
Interest cost	877	498
Past service cost	-	-
Actuarial loss/(gains)	1,935	(246)
Net expense recognised in the Statement of Profit and Loss	7,297	4,239

(II) Changes in obligation during the year:

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Present value of obligation at beginning of the year	7,871	3,631
Current service cost	4,485	3,987
Interest cost	877	498
Past service cost	-	-
Actuarial loss/(gains)	1,935	(246)
Benefits paid	-	-
Present value of obligation at the end of the year	15,168	7,871

(III) Net liabilities recognised in the balance sheet as at year end:

Particulars	As at 31 March 2023	As at 31 March 2022
Present value of obligation at the end of the year	15,168	7,871
Funded status	-	-
Net liabilities recognised in the balance sheet	15,168	7,871
- Current	765	12
- Non-current	14,403	7,859
Total	15,168	7,871

(IV) Principle actuarial assumptions

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Discount rate (per annum)	7.40%	7.10%
Expected increase in salary costs (per annum)	10%	10%
Attrition rate	15%	15%
Mortality rate	(2012-14) Ult table	(2012-14) Ult table
Retirement age	65 Years	65 Years

(V) Experience adjustment

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022	For the year ended 31 March 2021	For the year ended 31 March 2020	For the year ended 31 March 2019
Defined benefit obligation	15,168	7,871	3,631	-	-
Plan assets	-	-	-	-	-
Surplus / (deficits)	(15,168)	(7,871)	(3,631)	-	-
Experience adjustment loss/(gain) on plan liabilities	2,286	(35)	-	-	-
Experience adjustment loss/(gain) on plan assets	-	-	-	-	-

Brokentusk Technologies Private Limited

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

30 Employee share option scheme

(a) Employee Stock Option Plan of Brokentusk Technologies Private Limited ("Setu")

The Company had introduced ESOP scheme named "Brokentusk Employee Stock Option Scheme-2018" vide Board meeting dated 27 June 2019 which was further approved by shareholders on 5 August 2019. The company had subsequently amended and introduced "Brokentusk Employee Stock Option Scheme -2020" in financial year 2021. The options of this plan were denominated in INR.

During the current year, on acquisition of Setu by Pine Labs Limited (the 'Holding Company'), the Setu ESOP scheme mentioned above was cancelled.

Additionally, subsequent to acquisition of Setu by Pine Labs Limited, any new options granted to employees of Setu are issued directly by Pine Labs Limited as per their plan which is mentioned below in point (b) and (c).

Vesting period for these options are over a period of 48 months based on their respective approved vesting schedule by the Board of Directors of the Company.

Exercise period for these options based on their respective approved vesting schedule by the Board of Directors of the Company.

The number and weighted average exercise prices of share options outstanding during the year with respect to Setu ESOP plan are as follows :-

Particulars	31 March 2023		31 March 2022	
	Number of options	Weighted average exercise price- INR	Number of options	Weighted average exercise price- INR
Options outstanding at the beginning of the year	18,965,111	0.38	15,946,012	5.84
Options granted during the year	15,803,411	0.01	9,823,961	0.01
Options cancelled and settled in cash*	(34,768,522)	0.38	(6,804,862)	5.82
Outstanding at the end of the year	-	-	18,965,111	0.38
Exercisable at the end of year	-	-	6,888,729	1.02

The Company recognised employee share option expense for the years ending 31 March 2023 and 31 March 2022 in respect of stock options amounting to INR 100,582 thousands and INR 48,876 thousands respectively.

The Company had adopted the intrinsic value method as permitted by the Guidance Note on Accounting for Employee Share Based Payment issued by the Institute of Chartered Accountants of India in respect of stock options granted. The value of the underlying Shares has been determined by an independent valuer.

The key assumptions used in option valuation is provided below:

Fair value per option (INR)
Expected volatility
Expected life of share options
Risk Free Rate
Expected dividend yields

31 March 2023	31 March 2022
14.12	13.89 - 14.12
32.70%	31.48% - 32.70%
4.50	5 - 4.5
6.06%	5.72% - 6.06%
0.00%	0.00%

*The Company has outstanding liability of INR 37,362 thousands as at 31 March 2023 towards employees on account of this cancellation.

(b) Employee stock option plan of Pine Labs Limited (Holding Company)

Pine Labs Limited ("The Holding Company") formulated the Employees Stock Option Plan 2014 ("Plan") which was approved by the Board of the Holding Company. The options are denominated in US Dollars ("USD").

Vesting conditions

Options granted to a Participant(s), under each Grant, shall vest subject to the condition that the Participant continues to be in employment with the group during the term required as per their respective vesting schedule. Vesting period ranges from vesting over 19 months, 24 months, 41 months, 43 months, 45 months and 48 months based on their respective approved vesting schedule.

Exercise period is the period from the vesting date, as may be determined by the Board of the Holding Company from time to time, within which the vested options must be exercised, i.e. 60 months from each vesting date or 12 months from the date of termination of services for any reasons, including but not limited to, death and permanent disability, whichever is earlier or as may be determined by the Board in some specific cases. If the participant does not exercise his vested options during the exercise period, the vested options shall lapse.

Each option entitles the holder to one common share of the Holding Company. On exercise of options the employees are issued shares of the Holding Company.

The Company has entered into an agreement with the Holding Company, whereby the Company will reimburse the Holding Company for the share based compensation cost computed on the basis of fair value method in respect of options exercised by the employees of the Company. Accordingly, the Company has set up liability in respect of Share based compensation payable to the Holding Company computed on the basis of fair value method in respect of all options vested as well as outstanding as at the year end.

Brokentusk Technologies Private Limited

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

The number and weighted average exercise prices of share options outstanding during the year are as follows :-

Particulars	31 March 2023		31 March 2022	
	Number of options	Weighted average exercise price- INR	Number of options	Weighted average exercise price- INR
Options outstanding at the beginning of the year	-	-	-	-
Options granted during the year	17,043	641	-	-
Forfeited during the year	(141)	635	-	-
Outstanding at the end of the year	16,902	641	-	-
Exercisable at the end of year	15	652	-	-

The share options outstanding at March 31, 2023 had a exercise price ranging from INR 632.75 to INR 652.42 (March 31, 2022: Nil) and a weighted average remaining contractual life of 6.02 years (March 31, 2022: Nil)

The weighted average fair value of options granted during the year was INR 17,122.35 per option (March 31, 2022 : Nil)

Inputs for measurement of grant date fair values

The fair value of the share options on date of grant was made using the Black-Scholes model with the following assumptions-

Particulars	31 March 2023	31 March 2022
Weighted average share price	17,682.37	-
Expected volatility	39.20%-41.08%	-
Expected life of share options	3.81-4.66	-
Risk Free Rate	2.87%-4.15%	-
Expected dividend yields	-	-

Share based compensation cost for the years ending 31 March 2023 and 31 March 2022 in respect of stock options amounting to INR 114,622 thousands and Nil has been determined based on fair value method. As at 31 March 2023 and 31 March 2022, outstanding liability towards the Holding Company with respect to Employee stock option expenses are INR 204,177 thousands and Nil respectively.

(c) Restricted ordinary shares- issued by Pine Labs Limited

On 24 June 2022 Pine Labs Limited (referred to as "Pine Labs" or "the Acquirer") acquired 100% equity stake in Brokentusk Technologies Private Limited along with its subsidiaries ("Setu"). The Founder Sellers of Setu have been granted 17,872 vested stock options of Pine Labs Limited which have been simultaneously exercised into restricted ordinary shares of Pine Labs Limited. Vesting of these restricted ordinary shares is linked to various performance and employment conditions post acquisition by Pine Labs Limited. The details of the restricted ordinary shares were as follows.

Terms and conditions of restricted ordinary shares

(i) Performance based 8,936 restricted ordinary shares ('Performance stock'), shall vest subject to the condition that the Participant continues to be in employment with the group during the term required as per their respective vesting schedule. Vesting period for these performance stock is conditional upon certain performance measures/criteria as defined in the agreement for restricted ordinary shares. The performance is measured over vesting period ranges from 21 months to 32 months. The performance measures for these grants include probability of achievement of the factors for respective subsidiary performance i.e. (net revenue, adjusted EBITDA and new product development).

(ii) Remaining 8,936 restricted ordinary shares ('Remaining stock'), shall vest subject to the condition that the Participant continues to be in employment with the group during the term required as per their respective vesting schedule. Vesting period ranges from 21 months to 32 months based on their respective vesting schedule as defined in the agreement for restricted ordinary shares.

A summary of restricted ordinary shares activity during the year ended 31 March 2023 is set out below:

Particulars	31 March 2023	
	Number of options	Weighted average exercise price- INR
Restricted Shares outstanding at the beginning of the year	-	-
Granted during the year	17,872	19,779
Vested during the year	-	-
Forfeited during the year	-	-
Outstanding at the end of the year	17,872	19,779
Expected to vest (basis terms and conditions mentioned above)	12,510	19,779

During the year, the Company has recorded INR 83,644 thousands as employee share option expense for these restricted shares.

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

31 Capital and other commitments

Particulars

Estimated amount of contracts remaining to be executed on capital account and not provided for

As at 31 March 2023	As at 31 March 2022
1,695	-
1,695	-

32 Contingent liability

There is no contingent liability as at 31 March 2023 and 31 March 2022.

33 Related party transactions

(a) Name and relationship of related parties

Name of the entity

Pine Labs Limited
Pine Labs Private Limited
Anumati Technologies Private Limited
Setu Payments Private Limited

Agya Technologies Private Limited

Relationship

Holding Company (w.e.f. 24 June 2022)
Fellow Subsidiary (w.e.f. 24 June 2022)
Subsidiary Company
Subsidiary Company (w.e.f. 8 September 2021 till 24 January 2023)
Associate Company (till 24 June 2022)

(b) Key managerial personnel (KMP)

Sahil Ramanath Kini (Director)
Nikhil Kolar Satish Kumar (Director till 22 June 2022)
Bejul Somaia (Director till 22 June 2022)
Sanjay Jain (Director till 22 June 2022)
Jagriti Bhattacharyya (Director w.e.f. 22 June 2022 till 26 January 2023)
Ritesh Khetan (Director till 22 June 2022)
Geetika Singh (Director w.e.f. 27 January 2023 till 21 September 2023)

Key management personnel compensation:

	For the year ended 31 March 2023	For the year ended 31 March 2022
Short-term employment benefits	8,031	11,677
Post employment benefits*	449	-
Employee share-based payment	43,087	-
	51,567	11,677

*Post employment benefits have been disclosed from the actuarial valuation done for the key management personnel separately.

(c) Details of related party transactions during the year:

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Subscription for new equity shares by Holding Company		
Pine Labs Limited	14	-
Securities premium received from Holding Company		
Pine Labs Limited	258,179	-
Share application money received pending allotment		
Setu Payments Private Limited	-	100
Investment		
Agya Technologies Private Limited	-	21,000
Setu Payments Private Limited	-	100
Loans and advances given		
Sahil Ramanath Kini	500	-

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

	For the year ended 31 March 2023	For the year ended 31 March 2022
Revenue from services		
Pine Labs Private Limited	835	-
Anumati Technologies Private Limited	4,277	10,909
Expense incurred by Company on behalf of related parties		
Anumati Technologies Private Limited	1,386	1,193
Agya Technologies Private Limited	33	545
Setu Payments Private Limited	134	26
Sahil Ramanath Kini	396	14
Nikhil Kolar Satish Kumar	372	-
Employee share based payment expense cross charged by Holding Company		
Pine Labs Limited	198,265	-

(d) Outstanding balances:

Particulars	As at 31 March 2023	As at 31 March 2022
Other long-term liabilities		
Pine Labs Limited	70,841	-
Other current liabilities		
Pine Labs Limited	133,336	-
Trade receivable		
Pine Labs Private Limited	1,448	-
Anumati Technologies Private Limited	5	1,200
Other current assets		
Anumati Technologies Private Limited	1,586	1,597
Agya Technologies Private Limited	-	545
Setu Payments Private Limited	-	126
Short-term loans and advances		
Receivable from key management personnel	42	14
Deferred revenue		
Pine Labs Private Limited	392	-
Anumati Technologies Private Limited	-	4,090
Non-current investments		
Anumati Technologies Private Limited	30,000	-
Setu Payments Technologies Private Limited	-	100

(e) Terms and conditions

All other transactions were made on normal commercial terms and conditions and at market rates. All outstanding balances are unsecured.

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

34 Expenditure in foreign currency

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Cloud storage expense	9	425
Recruitment expense	377	866
Software subscription expenses	8,027	6,822
Employee share option expense (refer note 30)	198,266	-
Total	206,679	8,113

35 Earnings in foreign currency

Particulars	For the year ended 31 March 2023	For the year ended 31 March 2022
Sale of service	135	-
Total	135	-

36 Unhedged foreign currency exposures

Foreign currency exposures on account of trade receivables not hedged by derivative instruments are as follows:

Particulars	Currency	As at 31 March 2023		As at 31 March 2022	
		Amount in original currency	Amount in INR	Amount in original currency	Amount in INR
Trade Receivables	EURO	1	60	-	-
Payable to holding company (refer note 33)	USD	2,483	204,177	-	-
Total		2,484	204,237	-	-

37 Reserve Bank of India ("RBI") issued "Guidelines on Regulation of Payment Aggregators and Payment Gateways" ("Guidelines") under the Payment and Settlement Acts, 2007 on 17 March 2020. As per the guidelines, existing and new Payment Aggregators are required to obtain authorisation from RBI to continue with payment aggregation operations. The Company applied for authorisation with RBI during the FY 2021-22 and has subsequently withdrawn the application during the FY 2022-23.

38 The Indian Parliament has approved the Code on Social Security, 2020 which would impact the contributions by the Company towards Provident Fund and Gratuity. The effective date from which the changes are applicable is yet to be notified and the final rules are yet to be framed. The Company will carry out an evaluation of the impact and record the same in the financial statements in the period in which the Code becomes effective and the related rules are published.

39 Additional Regulatory Information

(a) Analytical Ratios

Ratio	Numerator	Denominator	31 March 2023	31 March 2022	Variance (in %)
Current ratio (in times) (refer note i below)	Current assets	Current liabilities	2.21	9.81	-77%
Return on equity (in %) (refer note ii below)	Net profit/(loss) after taxes	Average shareholders equity	-93%	-14%	581%
Trade receivable turnover ratio (in times) (refer note iii below)	Revenue from operations	Average accounts receivable	3.55	5.73	-38%
Trade payables turnover ratio (in times) (refer note iv below)	Other expenses (excluding non cash)	Average trade payable	7.24	14.67	-51%
Net capital turnover ratio (in times) (refer note v below)	Net Sales	Average Working capital	0.37	0.26	44%
Net profit ratio (in %) (refer note ii below)	Net profit/(loss)	Net sales	-436%	-245%	78%
Return on capital employed (in %) (refer note vi below)	EBIT=Earning before interest and taxes	Capital employed = Tangible net worth	-185%	-31%	503%

Brokentusk Technologies Private Limited

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

Explanation to variance in ratios

- i) Decrease on account of increase in other current liabilities payable to related parties.
- ii) Due to increase in loss during the year primarily on account of increase in employee share option expense.
- iii) Due to increase in average trade receivables.
- iv) Due to increase in average trade payables.
- v) Due to increase in sales and decrease in average working capital.
- vi) Due to increase in loss during the year primarily on account of increase in employee share option expense and decline in capital employed due to accumulated losses.
- vii) Debt Equity Ratio: The Company does not have any debt as on the Balance Sheet date.
- viii) Debt Service coverage ratio: The Company does not have any debt as on the Balance Sheet date.
- ix) Inventory Turnover ratio: The Company does not hold any Inventory as on the Balance Sheet date.
- x) Return on Investment ratio: The Company does not have any return on the Investments.

(b) Others

- (i) The Company does not have any Benami property, where any proceedings have been initiated or pending against the Company for holding any Benami property.
- (ii) The Company does not have any transactions with Companies struck-off under Section 248 of the Companies Act, 2013 or Section 560 of Companies Act, 1956.
- (iii) The Company do not have any charges or satisfaction which is yet to be registered with ROC beyond the statutory period.
- (iv) The Company have not any such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961.
- (v) The Company has not traded or invested in Crypto currency or Virtual Currency during the period covered by this financial year.
- (vi) The Company have not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:
 - (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or
 - (b) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.
- (vii) The Company have not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:
 - (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
 - (b) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- (viii) The Company is not declared as wilful defaulter by any bank or financial institution (as defined under the Companies Act, 2013) or consortium thereof or other lender in accordance with the guidelines on wilful defaulters issued by the Reserve Bank of India.
- (ix) a) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India.
 - b) The Company (as per the provisions of the Core Investment Companies (Reserve Bank) Directions, 2016) does not have any CICs as part of the Group.

Brokentusk Technologies Private Limited

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

- 40 During the year ended 31 March 2023, material errors have been identified in the classification and presentation of certain items reported in the standalone financial statements for the year ended March 31, 2022. These amounts have not been regrouped /reclassified to confirm to the current year's classification. The following table shows the significant amounts reported in the standalone financial statements for the year ended March 31, 2022 and the manner these amounts would have appeared in the standalone financial statements for the previous year if the current year's grouping / classification were applied. Consequently, corresponding figures are not comparable:

i) Standalone Balance Sheet

Particulars	Reported as at 31 March 2022	Appropriate Presentation	Impact on net assets
Non-current liabilities			
Other long-term liabilities	-	490	(490)
Sub total – (A)	-	490	(490)
Current liabilities			
Other current liabilities	29,953	33,912	(3,959)
Short-term provisions	4,462	13	4,449
Sub total – (B)	34,415	33,925	490
Non-current assets			
Long term loans and advances	-	19,132	(19,132)
Sub total – (C)	-	19,132	(19,132)
Current assets			
Short term loans and advances	19,132	-	19,132
Sub total – (D)	19,132	-	19,132
Total (E) = (A) + (B) + (C) + (D)	53,547	53,547	-

ii) Standalone Statement of Profit and Loss

Particulars	Reported as at 31 March 2022	Appropriate Presentation	Impact on loss for the year
Revenue from operations	116,270	79,060	(37,210)
Sub total – (A)	116,270	79,060	(37,210)
Expenses:			
Employee benefits expense	311,928	304,260	(7,668)
Other expenses	132,417	102,875	(29,542)
Sub total – (B)	444,345	407,135	(37,210)
Total (C) = (A) – (B)	(328,075)	(328,075)	-

iii) Standalone Cash Flow Statement

Particulars	Reported as at 31 March 2022	Appropriate Presentation	Impact on cashflows from operating activities
Cash flow from operating activities			
Provision for gratuity	4,239	-	(4,239)
Sub total – (A)	4,239	-	(4,239)
Operating profit before working capital changes			
Increase in provisions	3,993	8,232	4,239
Sub total – (B)	3,993	8,232	4,239
Total (C) = (A) + (B)	8,232	8,232	-

Brokentusk Technologies Private Limited

Notes to the standalone financial statements for the year ended 31 March 2023

(Amount in Indian Rupees (INR) Thousands, except per share data, unless otherwise stated)

- 41 The amounts disclosed in financials as "0" are below the rounding off norm adopted by the Company.
- 42 The Company is primarily engaged in providing technology services to its customers. Information reported to and evaluated regularly by the director for the purpose of resource allocation and assessing performance focuses on the business as a whole. The director reviews the Company's performance on the analysis of profit before tax at an overall entity level. Accordingly, there is one primary reportable segment, no other separate reportable segment as defined by 'Accounting Standard 17 - Segment Reporting'. Further, the Company caters only to the needs of the domestic market.

For B S R & Co. LLP

Chartered accountants

ICAI Firm Registration No. 101248W/W-100022

**MANISH
GUPTA**

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Date: 2023.09.29
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Manish Gupta

Partner

Membership No. 095037

Place: Gurugram

Date: 29 September 2023

For and on behalf of Board of Directors of
Brokentusk Technologies Private Limited
CIN : U74999KA2018PTC116465

**SAHIL
RAMANA
TH KINI**

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RAMANATH KINI
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Sahil Ramanath Kini

Director

DIN. 06692107

Place: Tilburg, Netherlands

Date: 29 September 2023

**RITESH
KHETAN**

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Date: 2023.09.29
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Ritesh Khetan

Director

DIN. 09642571

Place: Mumbai

Date: 29 September 2023